

Overhead resistance will tell you how much you stand to lose when things go wrong. Look for a nearby minor high at which to place a stop; just above the lowest of the three peaks is a good location. If the stop is too far away from the breakout price, then look elsewhere for a more promising trade or move the stop closer to the breakout price.

Early entry. In this example, compare the price of the lowest low between the first two peaks (1 and 2) and the last two peaks (2 and 3). If the right valley (B) is higher than the left (A), use the right valley (B) as the breakout price. A close below the higher of the two valleys will get you in earlier than waiting for a close below the lowest low.

Wait for confirmation. Wait for a close below the lowest low in the pattern (or use Early entry) before trading the chart pattern. Only when price closes below the lowest low does the pattern become valid. In too many cases that I have seen, the pattern does not confirm and price shoots upward. A short sale on such a pattern quickly turns into a loss. Always wait for confirmation unless you have a good reason for trading early.

Experience

I have one trade worth discussing, and I show it in [Figure 61.5](#). I should have warned you that it looks complicated with all the scribbling, so don't freak out. Let's dissect the notebook entry a section at a time. I wrote this entry the day before B:

“10 January 2004. I intend to sell half my holdings on Monday's opening (it's Saturday). Three falling peaks suggests further downward spin.”

The three falling peaks pattern appears at 1, 2, 3. The peaks look similar in shape, all are prominent minor highs and narrow-looking. The pattern breaks out downward when price closes below the lowest low in the pattern. I show that with horizontal line A. The breakout happens the day before candle B.

“It busted below support and resistance congestion in Dec. 2003 (a small diamond bottom).”

The diamond bottom is the diamond shape drawn between E and 3. Price breaks out upward and rises to 3, throws back, and closes below the bottom